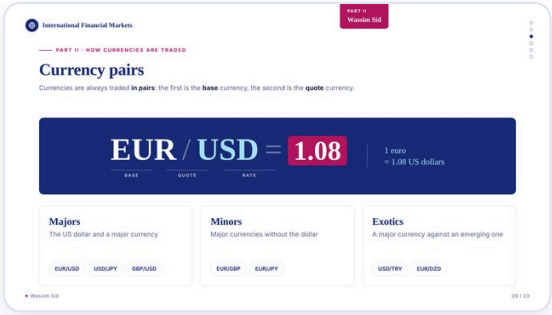
Slide 9/23

Currency pairs

≈ 1 min



> *Thank you, Norhane.*

Now that we know what the forex market is, let's see **how currencies are actually traded**.

First, currencies are always traded **in pairs**. You never buy a currency alone: you buy one currency with another.

The first currency is the **base currency**. The second is the **quote currency**.

For example, **EUR/USD = 1.08** means that one euro costs 1.08 US dollars.

There are three types of pairs.

1. **Majors:** the US dollar with another big currency, like EUR/USD, USD/JPY or GBP/USD.

2. **Minors:** big currencies without the dollar, like EUR/GBP or EUR/JPY.

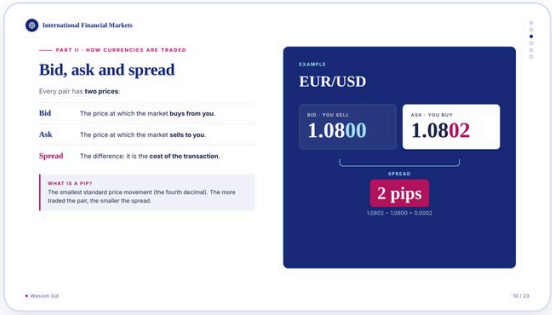
3. **Exotics:** a big currency against the currency of an emerging country, like USD/TRY, or **EUR/DZD**: the euro against our Algerian dinar.

NEXT ▸ SLIDE 10 **Bid, ask and spread**
"When you look at a currency pair, you always see two prices, not one."

Slide 10/23

Bid, ask and spread

≈ 1 min



When you look at a currency pair, you always see **two prices**, not one.

The **bid** is the price at which the market buys from you. It is what you get when you sell.

The **ask** is the price at which the market sells to you. It is what you pay when you buy.

The ask is always a little higher. The difference is called the **spread**. It is the **cost of the transaction**.

Example with EUR/USD: the bid is 1.0800, the ask is 1.0802. The spread is **2 pips**.

A **pip** is the smallest standard price movement: the fourth number after the decimal point.

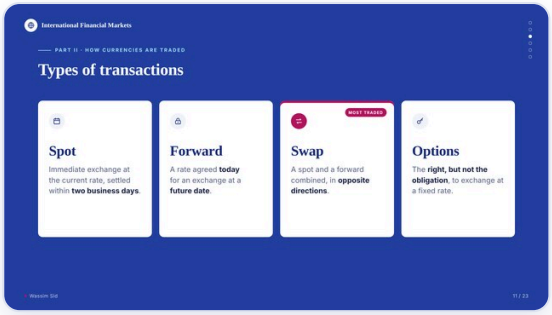
Remember: the more a pair is traded, **the smaller the spread**.

NEXT ▸ SLIDE 11 **Types of transactions**
"There are four main types of transactions."

Slide 11 /23

Types of transactions

≈ 1 min 15



There are four main types of transactions.

1 **Spot:** you exchange now, at today's rate. It is settled within **two business days**.

2 **Forward:** you agree on a rate **today**, for an exchange at a **future date**. Companies use it to protect themselves. Adam will show you how in Part IV.

3 **Swap:** a spot and a forward together, in opposite directions. For example, you buy euros today and sell them back later. It is the **most traded instrument** on the forex market.

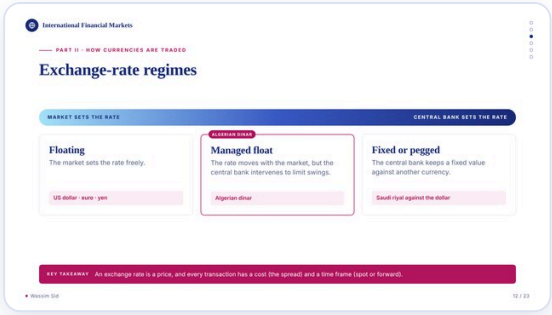
4 **Options:** the **right, but not the obligation**, to exchange at a fixed rate. If the rate is good for you, you use it. If not, you don't.

NEXT ▸ SLIDE 12 **Exchange-rate regimes**
"Last question: who decides the exchange rate? It depends on the..."

Slide 12/23

Exchange-rate regimes

≈ 1 min 15



Last question: who decides the exchange rate? It depends on the country's **regime**.

1. **Floating:** the market sets the rate freely. This is the case of the US dollar, the euro and the yen.

2. **Fixed or pegged:** the central bank keeps a fixed value against another currency. For example, the **Saudi riyal** is fixed against the dollar.

3. **Managed float:** in between. The market moves the rate, but the central bank steps in to limit big swings. This is the case of the **Algerian dinar**.

Key takeaway — An exchange rate is a price, and every transaction has a cost, the spread, and a time frame, spot or forward.

Now, Kamil will explain **what makes exchange rates move**.

NEXT ▸ SLIDE 13 **Supply and demand · Kamil takes over**

"Like any price, an exchange rate depends on supply and demand."